Module 1 – The Companies Act, 2013

Unit 1

Question 1 (C4) (ICAI SM)

MNP Private Ltd. is a company registered under the Companies Act, 2013 with a paid-up share capital of ₹ 2 crore and turnover of ₹ 60 crore. Explain the meaning of the "Small Company" and examine the following in accordance with the provisions of the Companies Act, 2013:

(i) Whether the MNP Private Ltd. can avail the status of small company?

(ii) What will be your answer if the turnover of the company is ₹ 30 crore?

Answer

According to Section 2(85) of the Companies Act, 2013, Small Company means a company, other than a public company:

a) paid-up share capital of which does not exceed ₹ 50 lakhs or such higher amount as may be prescribed (₹ 10 crores) which shall not be more than ₹ 10 crores and

b) turnover of which as per its last profit and loss account does not exceed ₹ 2 crores or such higher amount as may be prescribed (₹ 100 crores) which shall not be more than ₹ 100 crores.

Nothing in this clause shall apply to—

a) a holding company or a subsidiary company.

b) a company registered under section 8 or

c) a company or body corporate governed by any special Act.

(i) In the present case, MNP Private Ltd., is a company registered under the Companies Act, 2013 with a paid-up share capital of ₹ 2 crore and having turnover of ₹ 60 crore. Since both the criteria of share capital not exceeding ₹ 10 crore is met and turnover not exceeding ₹ 100 crore is met and the provisions require both the criteria to be met in order to avail the status of a small company, MNP Ltd. can avail the status of small company.

Even, If the turnover of the company is ₹ 30 crore, then both the criteria will be fulfilled and MNP Ltd. can avail the status of small company.

Question 2 (C7) (7M) (Dec 2024 PQ)

Gautam of Uttar Pradesh incorporated a One Person Company (OPC). In compliance to law, he appointed his brother Rohit as nominee. Both are resident Indian citizens. On 12/02/2024, Rohit left India permanently to settle in Dubai and he has withdrawn his nomination. You are required to answer the following in the light of the provisions of the Companies Act, 2013:

(i) What action shall be taken by Gautam when he gets notice of withdrawal of nomination and within what time limit?

(ii) Gautam wants to appoint his minor son (Abhijit). Can Gautam appoint his minor son (Abhijit) as nominee in OPC? Examine, with relevance, the correctness of the same.

(iii) In case Gautam fails to appoint a new nominee, what shall be the legal consequences?

Answer

(i) As per the Rule 4 of the Companies (Incorporation) Rules, 2014,

a) The sole member of a One Person Company (OPC) shall nominate a person, after obtaining prior written consent of such person, who shall, in the event of the member's death or incapacity to contract, become the member of that OPC.

b) The person nominated by the member of a OPC may, withdraw his consent by giving a notice in writing to such sole member and to the OPC.

c) The sole member shall nominate another person as nominee within 15 days of the receipt of such notice and shall send an intimation of such nomination in writing to the OPC, along with the written consent of such other person so nominated which shall be filed in form of a declaration in Form no. INC.4.

d) The OPC shall within 30 days of receipt of the notice of withdrawal of consent file such notice and the intimation of the name of another person nominated by the sole member with the Registrar in Form No. INC-4 along with fees.

In the given case, based on the above provisions, the company shall,

- nominate of another person as nominee
- File in the details mentioned above in the Form no. INC 4

(ii) As per the Rule 3 of the Companies (Incorporation) Rules, 2014, No minor shall become member or nominee of the One Person Company or can hold share with beneficial interest. In view of this, Gautam's minor son Abhijit Cannot be appointed as nominee.

(iii) In case of failure to do so, the OPC and any officer of the company will be liable for fine which may extend to ₹ 5,000 and with a further fine which may extend to ₹ 500 for every day after the first offence during which such contravention continues.

Question 3 (C16) (8M) (June 2017 Old PQ) (6M) (Dec 2021 Old PQ)

What are the documents etc. to be delivered to the Registrar of Companies (MCA) by foreign companies for registration?

(or)

Delegare Limited incorporated in Singapore desires to establish a place of business at Mumbai. You being a practicing Chartered Accountant have been appointed by the company as liaison officer for compliance of legal formalities on behalf of the company. Examining the provisions

of the Companies Act, 2013. State the documents which are required to be furnished on behalf of the company, on the establishment of a place of business at Mumbai.

Answer

Under Section 380 (1) of the Companies Act, 2013 every foreign company shall, within 30 days of the establishment of place of business in India, deliver to the Registrar for registration the following documents:

(i) a certified copy of the charter, statutes or memorandum and articles, of the company or other instrument constituting or defining the constitution of the company. If the

instruments are not in the English Language, a certified translation thereof in the English Language.

(ii) the full address of the registered or principal office of the company.

(iii) A list of the directors and the secretary of the company containing such particulars as may be prescribed.

(iv) The names and address of one or more persons resident in India authorised to accept on behalf of the company service of process and any notices or other documents required to be served on the company.

(v) The full address of the office of the company in India which is deemed to be its principal place of business in India.

(vi) Declaration that none of the directors of the company or the authorised representative in India has ever been convicted or debarred from formation of companies and management in India or abroad and

(vii) Any other information as may be prescribed.

Any alteration of the above documents shall be informed to Registrar within 30 days of alteration.

According to the Companies (Registration of Foreign Companies) Rules, 2014, any document which any foreign company is required to deliver to the Registrar shall be delivered to the Registrar having jurisdiction over New Delhi.

Unit 2

Question 4 (C2) (6M) (Dec 2022 Old PQ)

XYZ Ltd. having inadequate profits, proposes to declare 10% equity dividend out of its current profits and its free reserves.

Following are the data drawn from the latest audited financial statements as at 31st March,2019:

17,500 Preference Shares of ₹ 100 each fully paid: (Dividend @ 9%)

7,00,000 Equity Shares of ₹ 10 each

General Reserves:	₹ 21,00,000
Capital Reserves:	₹ 3,50,000
Securities Premium:	₹ 3,50,000
Surplus (P&L):	₹ 63,000 (Excluding current year's profit given below)
Net Profit for the year:	₹ 3,57,000

Average Rate of Return for the last three years: 15%

Average Rate of Dividend during the three years: 15%

The company has declared dividends in each of the 3 preceding financial years.

In the light of the information given above, analysing and applying the provisions of the Companies Act, 2013 and the applicable Rules made thereunder, calculate the minimum amount that is required to be withdrawn from free reserve by XYZ Ltd. for declaring 10% dividend to the equity shareholders.

Answer

Suggested Answer

The minimum amount that the Company is required to withdraw from free reserves is Rs 4,37,500.

My Interpretation

According to **Section 123 of the Companies Act, 2013,** a company may declare a dividend even when it has **inadequate profits,** but it must comply with the conditions prescribed under **Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014.**

Condition 1 – The rate of dividend declared shall not exceed the average of the rates at which dividend was declared by it in the three years immediately preceding that year.

Condition 2 – The total amount to be drawn from such accumulated profits shall not exceed 10% of the sum of its paid-up share capital and free reserves as per the latest audited financial statement.

Condition 3 – The amount so drawn shall first be utilised to set off the losses incurred in the financial year in which dividend is declared before any dividend in respect of equity shares is declared.

Condition 4 – The balance of reserves after such withdrawal shall not fall below 15% of its paid up share capital as per the latest audited financial statement.

Based on the above provisions and facts of the given case,

The Total Dividend Requirement is calculated below:

- **Preference Dividend** (9% on 17,500 shares of ₹100 each) = (17,500 × ₹ 100) x 9% = ₹ 1,57,500
- **Equity Dividend** (10% on 7,00,000 shares of ₹10 each) = 10% (7,00,000 × 10) = ₹ 7,00,000
- **Total Dividend Payable** = 1,57,500 + 7,00,000 = ₹ 8,57,500

Profit Availability:

- **Net Profits for the year = ₹ 3,57,000**
- **Surplus in P&L (excluding current year profit): ₹ 63,000**
- **Total available profit** = 3,57,000 + 63,000 = ₹ 4,20,000

Short fall in Profits = 8,57,500 - 4,20,000 = ₹ 4,37,500

Thus, the company needs to withdraw ₹ **4,37,500** from free reserves.

Condition 1 - The **rate of dividend** should not exceed the **average of the last three years' rate of dividend**, i.e., **15%.**

Since the proposed **10% equity dividend** is within this limit, the condition 1 is satisfied

Condition 2 - The amount withdrawn from free reserves shall not exceed 10% of the sum of paid-up share capital and free reserves.

- **Paid-up share capital = ₹ 87,50,000**
- **Free reserves before withdrawal = ₹ 21,00,000**
- **Total (Paid-up share capital + Free reserves) = ₹ 1,08,50,000**
- **10% of this amount = ₹ 10,85,000**
- The shortfall in profit is ₹ **4,37,500,** which is **within this limit.**
- **Condition 2 is satisfied.**

Condition 3 – Since there are no losses incurred in the financial year, there is no requirement of set off. **Condition 3 is satisfied**

Condition 4 - The balance of reserves after such withdrawal shall not fall below 15% of its paid up share capital.

- Total Free reserves = ₹ 21,00,000
- Balance in reserves after withdrawal = 21,00,000 - **4,37,500 = ₹ 16,62,500**
- **15% of Paid up share capital = ₹ 87,50,000 x 15% = ₹ 13,12,500**

The balance in the reserves has not fallen below the prescribed limit, condition 4 is satisfied.

Since all conditions are satisfied, **XYZ Ltd. can withdraw ₹ 4,37,500 from free reserves and declare the proposed 10% dividend.**

Question 5 (C5) (3M) (June 2023 PQ) (ICAI SM)

Star Computers Limited declared and paid dividend in time to all its equity holders for the financial year 2023-24, except in the following two cases:

(i) Mrs. Sheela Bhatt, holding 250 shares had mandated the company to directly deposit the dividend amount in her bank account. The company, accordingly, remitted the dividend but the bank returned the payment on the ground that there was difference in surname of the payee in the bank records. The company, however, did not inform Mrs. Sheela Bhatt about this discrepancy.

(ii) Dividend amount of ₹ 50,000 was not paid to the successor of Late Mr. Mohan, in view of the court order restraining the payment due to family dispute about succession.

You are required to analyse these cases with reference to provisions of the Companies Act, 2013 regarding failure to distribute dividends.

Answer

(i) Section 127 of the Companies Act, 2013 provides for punishment for failure to distribute dividend on time. One of such situations is where a shareholder has given directions to the company regarding the payment of the dividend and those directions could not be complied with but the non-compliance was not communicated to him.

In the given situation, the company has failed to communicate to the shareholder Mrs. Sheela Bhatt about non-compliance of her direction regarding payment of dividend.

Hence, the penal provisions under section 127 will be applicable.

(ii) Section 127 provides that no offence shall be deemed to have been committed where the dividend could not be paid by reason of operation of law. In the present case, the dividend could not be paid because it was not allowed to be paid by the court until the matter was resolved about succession.

Hence, there will not be any liability on the company and its directors, etc.

Unit 3

Question 6 (C2) (ICAI SM)

(i) Ravi Limited maintained its books of account under Single Entry System of Accounting. Is it permitted under the provisions of the Companies Act, 2013?

(ii) State the persons responsible for complying with the provisions regarding maintenance of Books of Account of a company.

(iii) Whether a company can keep books of Account in electronic mode accessible only outside India?

Answer

(i) According to Section 128(1) of the Companies Act, 2013, every company shall prepare "books of account" and other relevant books and papers and financial statement for every financial year. These books of account should give a true and fair view of the state of the affairs of the company, including that of its branch office. These books of account must be kept on accrual basis and according to the double entry system of accounting. Hence, maintenance of books of account under Single Entry System of Accounting by Ravi Limited is not permitted.

(ii) As per Section 128 (6) of the Companies Act, 2013, the person responsible to take all reasonable steps to secure compliance by the company with the requirement of maintenance of books of account etc. shall be:

a) Managing Director,
b) Whole-Time Director, in charge of finance
c) Chief Financial Officer
d) Any other person of a company charged by the Board with duty of complying with provisions of section 128.

(iii) A Company has the option of keeping such books of account or other relevant papers in electronic mode. The books of account and other relevant books and papers maintained in electronic mode shall:

1) remain accessible in India so as to be usable for subsequent reference.
2) be retained in original format, sent or received, or in a format which shall present accurately the information generated, sent or received and the information contained in the electronic records shall remain complete and unaltered.
3) The information received from branch offices shall not be altered and shall be kept in a manner where it shall depict what was originally received from the branches.
4) The information in the electronic record of the document shall be capable of being displayed in a legible form.
5) There shall be a proper system for storage, retrieval, display or printout of the electronic records.
6) The back-up of the books of account and other books and papers of the company maintained in electronic mode, including at a place outside India, if any, shall be kept in servers physically located in India on a daily basis.

Hence, a company cannot keep books of account in electronic mode accessible only outside India.

Question 7 (C5) (ICAI SM)

The Board of Directors of Vishwakarma Electronics Limited consists of Mr. Ghanshyam (Director), Mr. Hyder (Director) and Mr. Indersen (Managing Director). The company has also employed a Company Secretary. The financial statements of the company were signed by Mr. Ghanshyam and
Mr. Hyder. Examine whether the authentication of financial statements of the company was in accordance with the provisions of the Companies Act, 2013?

Answer

According to section 134(1) of the Companies Act, 2013, the financial statements, including consolidated financial statement, if any, shall be approved by the Board of Directors before they are signed on behalf of the Board by

a) the chairperson of the company where he is authorised by the Board or
b) by two directors out of which one shall be managing director, if any, and
c) the Chief Executive Officer,
d) the Chief Financial Officer and
e) the company secretary of the company, wherever they are appointed,
f) or in the case of One Person Company, only by one director, for submission to the auditor for his report thereon.

In the instant case, the Balance Sheet and Profit and Loss Account have been signed only by Mr. Ghanshyam and Mr. Hyder, the directors. In view of Section 134(1) of the Companies Act, 2013, Mr. Indersen, the Managing Director should be one of the two signing directors. Since, the company has also employed a Company Secretary, he should also sign the financial statements. Therefore, the authentication is incomplete and not compliant with Section 134(1).

Question 8 (C6) (8M) (June 2023 PQ)

M/S ABC Ltd. Manufactures of Tyres of all types of vehicles, is a Public Limited Company manufacturing units, one at Durgapur, West Bengal, Palej, Gujarat and Munnar in Kerala with Corporate office at Kolkata. The company is professionally managed, the promoter being the chairman, only comes in Board meeting and does not interfere in day to day management. The other directors are independent. The company has sales offices and dealers in India.
The financial performance of the company is as follows:

Parameters	2017 - 2018	2018 - 2019	2019 - 2020	2020 – 2021
Turnover	700	650	920	1010
Net worth	402	423	480	530
Net Profit	14.5	15.7	16.8	18

Queries:
(i) Do the company comes under CSR obligation?

(ii) Is CSR committee required?
(iii) What are the other obligations for CSR under the Act?
(iv) What will happen if the stipulated/amount is not spent within the year?
(v) What will happen if a project is taken up but full allocated amount is not spent ?

Answer

(i) Section 135 of the Companies Act, 2013 provides for the applicability of the CSR provision on corporates. Sub section (1) lays down that every company having
   a) Net worth of Rs 500 crores or more; or
   b) Turnover of Rs 1000 crores or more; or
   c) Net Profit of Rs 5 crores
   during the immediately preceding financial year shall constitute a Corporate Social Responsibility Committee.
   For the year **2020-2021**, the company's turnover is ₹1010 crore, which exceeds the ₹1000 crore threshold. Therefore, ABC Tyres Ltd. comes under CSR obligation.

(ii) Yes, the CSR Committee is required to be formed as it comes under the purview of Section 135 of the Act.

(iii) According to Section 135(5) of the Companies Act, 2013, the Board of every company to which Section 135 is applicable, shall ensure that the company spends, in every financial year at least 2% of average net profits of the company made during the 3 immediately preceding financial years, in pursuance of its CSR policy.
   Other obligations are spending the amount prescribed above within the financial year. The details have to be disclosed in the Board's Report as annexure. Form CSR 1 needs to be filed.

(iv) The unspent amount will have to be transferred to a special account.
If a project is taken up and the full amount is not spent, the amount shall be kept separately for financing which will be called an "ongoing project".

Question 9 (C8) (ICAI SM)

The Government of India is holding 51% of the paid-up equity share capital of Sun Ltd. The Audited financial statements of Sun Ltd. for the financial year 2022-23 were placed at its annual general meeting held on 31st August 2023. However, pending the comments of the Comptroller and Auditor General of India (CAG) on the said accounts the meeting was adjourned without adoption of the accounts. On receipt of CAG comments on the accounts, the adjourned annual general meeting was held on 15th October, 2023 whereat the accounts were adopted. Thereafter, Sun Ltd. filed its financial statements relevant to the financial year 2022-23 with the Registrar of Companies on 12th November, 2023. Examine, with reference to the applicable provisions of the Companies Act, 2013, whether Sun Ltd. has complied with the statutory requirement regarding filing of accounts with the Registrar?

Answer

According to Section 137(1) of the Companies Act, 2013, where the financial statements are not adopted at annual general meeting or adjourned annual general meeting, such un-adopted

financial statements along with the required documents shall be filed with the Registrar within 30 days of the date of annual general meeting and the Registrar shall take them in his records as provisional till the financial statements are filed with him after their adoption in the adjourned annual general meeting for that purpose.

The financial statements adopted in the adjourned AGM shall be filed with the Registrar within 30 days of the date of such adjourned AGM with such fees or such additional fees as may be prescribed.

In the instant case, the accounts of Sun Ltd. were adopted at the adjourned AGM held on 15th October 2023 and filing of financial statements with Registrar was done on 12th November, 2023 i.e. within 30 days of the date of adjourned AGM. But Sun Ltd. has not filed its un-adopted financial statements within 30 days of the date of the annual general meeting held on 31st August 2023.

Hence, Sun Ltd. has not complied with the statutory requirement regarding filing of un-adopted accounts with the Registrar but has certainly complied with the provisions by filing of adopted accounts within the due date with the Registrar.

Unit 4

Question 10 (C2) (SM) (10M)(June 2023 PQ)

Mr. Ravinder Nath is Managing Director of ABC Ltd. The Audit is going and there are many issues which the Auditor has pointed out and the same are being clarified by the Company Management, but the Auditor is not satisfied with the explanations. MD wants to consult you as the CFO of the Company on how the current Auditor can be removed. Auditor is also not feeling comfortable and has threatened to resign.

Please advise MD on the legal provisions under the Companies Act, 2013 in respect of the following:

(i) Can the Auditor be removed? Please state the procedure.

(ii) As the Auditor is not satisfied and what if he resigns?

(iii) If the Auditor decides to continue with the assignment and he issues a qualified report on the observations found by him during the course of the Audit.

Answer

(i) Under section 140 (1) of the Companies Act, 2013, the auditor appointed under section 139 may be removed from his office before the expiry of his term only,

a) by a special resolution of the company,

b) after obtaining the previous approval of the Central Government in that behalf in the prescribed manner.

c) Provided that before taking any action, the auditor concerned shall be given a reasonable opportunity of being heard.

d) The application to the Central Government for removal of auditor shall be made in Form ADT-2.

e) The application shall be made to the Central Government within 30 days of the resolution passed by the Board.

f) The company shall hold the general meeting within 60 days of receipt of approval of the Central Government for passing the special resolution.

(ii) Under section 140 (2) of the Companies Act, 2013, If the Auditor has resigned from the company, He shall file within a period of 30 days from the date of resignation, a statement in the Form ADT - 3 with the Company and the concerned Registrar. The Auditor shall indicate the reasons and other facts as may be relevant with regard to his resignation in his statement.

(iii) If the Auditor gives a qualified Report, the same has to be replied by the Board of Directors as annexure to Board's Reports and shall be circulated and placed in AGM.

Question 11 (C3) (ICAI SM)

Examine whether the following persons are eligible for being appointed as auditor under the provisions of the Companies Act, 2013:

(i) "Mr. Prakash" is a practicing Chartered Accountant and "Mr. Aakash", who is a relative of "Mr. Prakash" is holding securities of "ABC Ltd." having face value of ₹ 70,000/- (market

value ₹ 1, 10,000/-). Directors of ABC Ltd. want to appoint Mr. Prakash as an auditor of the company.

(ii) Mr. Ramesh is a practicing Chartered Accountant indebted to MNP Ltd. for rupees 6 lakh. Directors of MNP Ltd. want to appoint Mr. Ramesh as an auditor of the company.

(iii) Mrs. KVJ spouse of Mr. Kumar, a Chartered Accountant, is the store keeper of PRC Ltd. Directors of PRC Ltd. want to appoint Mr. Kumar as an auditor of the company

Answer

(i) According to Section 141 of the Companies Act, 2013, a person who, or his relative or partner holds any security of the company or its subsidiary or of its holding or associate company a subsidiary of such holding company, which carries voting rights, such person cannot be appointed as auditor of the company. Provided that the relative of such person may hold security or interest in the company of face value not exceeding ₹ 1 lakh.

In the present case, Mr. Aakash (relative of Mr. Prakash, an auditor), is having securities of ABC Ltd. having face value of ₹ 70,000 (market value ₹ 1,10,000), which is within the specified limit. Therefore, Mr. Prakash will not be disqualified to be appointed as an auditor of ABC Ltd.

(ii) According to Section 141 of the Companies Act, 2013, a person is disqualified to be appointed as an auditor if he or his relative or partner is indebted to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹ 5 Lakh. In the instant case, Mr. Ramesh will be disqualified to be appointed as an auditor of MNP Ltd as he indebted to MNP Ltd. for ₹ 6 Lakh.

According to Section 141 of the Companies Act, 2013, a person is disqualified to be appointed as an auditor if a person whose relative is a director or is in the employment of the company as a director or a key managerial personnel. In the instant case, since Mrs. KVJ Spouse of Mr. Kumar (Chartered Accountant) is the storekeeper (not a director or KMP) of PRC Ltd. Hence Mr. Kumar will not be disqualified to be appointed as an auditor in the said company.

Question 12 (C5) (7M)(Dec 2018 Old PQ)

Mr. Faithful is an auditor of Daga Ltd. While auditing the accounts of the Daga Ltd. for 2016-2017, he finds manipulation of fund around Rs. 2 crore committed by the officers of the company against the Daga Ltd. Examine in the light of the Companies Act, 2013 the way frauds are required to be reported by Mr. Faithful and the duty of the Daga Ltd. in relation to reporting of such frauds.

Answer

As per section 143(12) of the Companies Act, 2013, if an auditor of a company, in the course of the performance of his duties as auditor, has reason to believe that an offence of fraud, which involves or is expected to involve individually an amount of ₹ 1 crore or above, is being or has been committed against the company by its officer or employees, the auditor shall report the matter to the Central Government.

The auditor shall report the matter to the Central Government as under:-

(i) The auditor shall report the matter to the Board or the Audit Committee, as the case may be, immediately but not later than two days of his knowledge of the fraud, seeking their reply or observations within 45 days;

(ii) On receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments to the Central Government within 15 days from the date of receipt of such reply or observations;

(iii) In case the auditor fails to get any reply or observations from the board or the Audit Committee within the stipulated period of 45 days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply or observations ;

(iv) The report shall be in the filed electronically in Form ADT-4. Details of each of the fraud reported to the Audit Committee or the Board during the year shall be disclosed in the Board's Report by the company :-

a) Nature of Fraud with description;
b) Approximate Amount involved ;
c) Parties involved, if remedial action not taken; and
d) Remedial actions taken.

Question 13 (C6) (SM) (6M) (June 2023 Old PQ) (4M) (June 2018 Old PQ)

X Ltd. appointed CA Innocent as a statutory auditor for the company for the current financial year. Further the company offered him the services of actuarial, investment advisory and investment banking which was also approved by the Board of Directors. Comment.

(or)

Are there any restrictions to the appointment of a statutory auditor of a private limited company becoming the consultant of the same company? Explain.

(or)

What are the services which an auditor is not supposed to take up?

Answer

According to section 144 of the Companies Act, 2013, An auditor appointed under this Act shall provide to the company only such other services as are approved by the Board of Directors or the audit committee, as the case may be. But such services shall not include any of the following services, namely:

a) accounting and book keeping services.
b) internal audit
c) design and implementation of any financial information system
d) actuarial services
e) investment advisory services
f) investment banking services.
g) rendering of outsourced financial services.

h) management services and

i) any other kind of services as may be prescribed.

Further section 141(3)(i) of the Companies Act, 2013 also disqualify a person for appointment as an auditor of a company who is engaged as on the date of appointment in consulting and specialized services as provided in section 144.

In the given case, CA Innocent was appointed as an auditor of X Ltd. He was offered additional services of actuarial, investment advisory and investment banking which was also approved by the Board of Directors. The auditor is advised not to accept the services as these services are specifically notified in the services not to be rendered by him as an auditor as per section 144 of the Act.

Unit 5

Question 14 (C2) (7M) (Dec 2024 PQ)

Mirinda Ltd., is an unlisted company with paid-up capital of & ₹ 40 cr. and turnover of ₹ 350 cr. The Company has the following top management personnel:

a) Mr. Rajib Mishra, who is promoter and Managing Director of the company.
b) Mr. Pritam is the Non-executive Chairman.
c) Mr. Charan Chadha - Director (Finance)
d) Mr. Anurag Sinha -Director (Operation) is related to the promoter.
e) Ms. Supriti - Company Secretary

The company is in a plan for expansion and therefore wants to avail sizeable loan from a nationalised bank. The bank wants to nominate a director in the Board.

The MD seeks your advice in the following points:

(i) Is the present Board properly constituted? If not, what is the non-compliance?
(ii) Can Mr. Anurag Sinha be considered as independent director?
(iii) What will be the status of the director if nominated by bank? If the said nominated director is a woman, would she satisfy the requirement of women director?
(iv) Is there any requirement of a CFO?

You are required to advise the MD suitably.

Answer

(i) In the Given case, Mirinda Ltd. is an unlisted public company with:

- Paid-up share capital: ₹40 crore
- Turnover: ₹350 crores.

As per Section 149(1) and Rule 3 of the Companies (Appointment and Qualification of Directors) Rules, 2014, an unlisted public company must appoint at least 2 independent directors if:

a) Paid-up share capital is ₹10 crore or more,
b) Turnover is ₹100 crore or more, or
c) Outstanding loans, debentures, and deposits exceed ₹50 crore.

Mirinda Ltd. exceeds the turnover threshold of ₹100 crore, so it requires at least 2 independent directors. From the given data, there's no mention of any independent directors, so there is non-compliance with the requirement of appointing independent directors.

According to Section 149 of the Companies Act, 2013, A public company will be required to mandatorily appoint at least 1 woman director if it fulfils any of the following criteria:

a) having paid-up capital of ₹ 100 crores or more, or
b) a turnover of ₹ 300 crores or more.

So Additionally, such a company must appoint at least 1 woman director. There is no mention of a woman director, so this is another non-compliance. The Board is not properly constituted.

(ii) No, Mr. Anurag Sinha cannot be considered an independent director because: He is the Director (Operation) and he is related to the promoter, Mr. Rajib Mishra, which disqualifies him under the definition of an independent director in Section 149(6).

(iii) A director nominated by the bank will be classified as a Nominee Director under Section 161(3) of the Companies Act, 2013. If the nominated director is a woman, she can be regarded as the woman director required under Section 149(1), if appointed as per the Rule 3 of the Companies (Appointment and Qualification of Directors) Rules, 2014

As per Section 203 of the Companies Act, 2013 & as per Rule 8 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, every listed company and every other public company having a paid-up share capital of ₹ 10 crores or more shall have whole-time KMP (including CFO). As per Section 203, CFO is to be appointed as a KMP since Paid up Capital is more than ₹ 10 crores. So, there is a requirement for a CFO.

Question 15 (C5) (ICAI SM)

ADJ Limited has 10 directors on its Board. Two of the directors have retired by rotation at an Annual General Meeting. The place of retiring directors is not so filled up and the meeting has also not expressly resolved 'not to fill the vacancy'. Since the AGM could not complete its business, it is adjourned till the same day in the next week, at the same time and place. At this adjourned meeting also the place of retiring directors could not be filled up, and the meeting has also not expressly resolved 'not to fill the vacancy'. Referring to the provisions of the Companies Act, 2013, decide:

(i) Whether in such a situation the retiring directors shall be deemed to have been re-appointed at the adjourned meeting?

(ii) What will be your answer in case at the adjourned meeting, the resolutions for re-appointment of these directors were lost?

(iii) Whether such directors can continue in case the directors do not call the Annual General Meeting?

Answer

According to Section 152(7) of the Companies Act, 2013, if at the annual general meeting at which a director retires and the vacancy is not so filled up and the meeting has not expressly resolved not to fill the vacancy, the meeting shall stand adjourned to same day in the next week, at the same time and place, or if that day is a national holiday, till the next succeeding day which is not a holiday, at the same time and place.

Section 152(7) further provides that if at the adjourned meeting also, the place of the retiring director is not filled up and that meeting also has not expressly resolved not to fill the vacancy, the retiring director shall be deemed to have been re-appointed at the adjourned meeting, unless

- at the adjourned meeting or at the previous meeting a resolution for the re - appointment of such director was put and lost or

- he has given a notice in writing expressing his unwillingness, or
- he is disqualified.

Therefore, in the given circumstances answers to the asked questions shall be as under:

(i) In the first case, applying the above provisions, the retiring directors shall be deemed to have been re-appointed.

(ii) In the second case, where the resolutions for the reappointment of the retiring directors were lost, the retiring directors shall not be deemed to have been re-appointed.

Section 152(6)(c) states that 1/3rd of the rotational directors shall retire at every AGM. Accordingly, the directors will retire as soon as the AGM is held on its due date. Further, it is necessary for the company to hold the AGM, where the directors liable to retire by rotation shall retire. In case AGM is not held till the last date on which it should have been held, the term of retiring directors ends on this last date and it cannot be extended till the new date when the AGM shall be held.

Question 16 (C10) (3+3+2+4= 12M) (Dec 2021 Old PQ)

Mr. Vikram, a Director of M/S Tubelight Limited has made default in filing of annual accounts and annual returns with the Registrar of Companies for a continuous period of 3 financial years ending on 31st March 2016. Examine the validity of the following under the Companies Act, 2013.

(i) Whether Mr. Vikram can continue to be a Director of M/S Tubelight Limited (defaulting company) and also M/S Green light Limited where he is also a director.

(ii) State Whether he can be reappointed as Director in these two companies.

(iii) What would be your answer be in case Mr. Vikram is a nominee Director of a Public Financial Institution?

(iv) what would be your answer in case the defaulting company (i,e. M/S Tubelight Limited) is a private limited company ?

Answer

According to section 164(2) of the Companies Act, 2013, person who is or has been a director of a company

a) which has not filed financial statements or annual returns for any continuous period of 3 financial years; or

b) has failed to repay the deposits accepted by it or pay interest thereon or to redeem any debentures on the due date or pay interest due thereon or pay any dividend declared and such failure to pay or redeem continues for 1 year or more,

shall not be eligible to be re-appointed as a director of that company or appointed in other company for a period of 5 years from the date on which the said company fails to do so.

Provided that where a person is appointed as a director of a company which is in default, he shall not incur the disqualification for a period of 6 months from the date of his appointment.

Also, according to section 167(1), the office of a director shall become vacant in case he incurs any of the disqualifications specified in section 164.

Provided that where he incurs disqualification under section 164(2), the office of the director shall become vacant in all the companies, other than the company which is in default.
Thus, in the light of the said provisions of the Act and the facts of the question:

(i) In the first case Mr. Vikram can continue to be director of the defaulting company namely M/s Tubelight Ltd. whereas in Green light Ltd., he cannot continue as a director because that company is not defaulting company.

(ii) Further, Mr Vikram is a Director of Tubelight Ltd. and Green Light Ltd. Tube Light Ltd did not file financial statements for a continuous period of 3 financial years ending 31 March 2016. This failure constitutes a disqualification under Section 164(2) and consequently Mr Vikram will not be eligible for reappointment in Tubelight Ltd. and Green light Ltd for a period of 5 years from the date on which the said company incurs the default.

(iii) In case Mr. Vikram is a nominee director of a Public Financial Institution then in such case section 164 is not applicable.

(iv) In case Tubelight Ltd is a Private Ltd Company. According to Section 164(3) a private company may by its articles provide for any disqualifications for appointment as a director in addition to those specified in sub section (1) and (2) of Section 164

Thus, in this case the answer would be same as above i.e., Mr Vikram has to vacate his office of directorship from Tubelight Ltd and Green light Ltd and cannot be reappointed in both the companies for a period of 5 years from the date on which the said company incurs the default.

Question 17 (C10) (7M) (MQP Dec 2023)

Summarize the disqualifications of a director under section 164 of the Companies Act 2013.

Answer

According to this Section 164(1), A person shall not be eligible for appointment as a director of a company, if:

a) he is of unsound mind declared by a competent court.
b) he is an undischarged insolvent.
c) he has applied to be adjudicated as an insolvent and his application is pending.
d) he has been convicted by a court of any offence and sentenced to imprisonment for not less than 6 months and a period of 5 years has not elapsed from the date of expiry of the sentence. However, if a person has been convicted of any offence and sentenced to imprisonment for a period of 7 years or more, he shall not be eligible to be appointed as a director in any company.
e) an order disqualifying him for appointment as a director has been passed by a court or Tribunal and the order is in force.
f) he has not paid any calls in respect of any shares of the company held by him and 6 months have elapsed from the last day fixed for the payment of the call.
g) he has been convicted of the offence of dealing with related party transactions under section 188 at any time during the last preceding 5 years.

h) he is not allotted DIN

i) he has not complied with Section 165 relating to holding of maximum number of directorship.

According to Section 164(2), Person who is or has been a director of a company which:

a) has not filed financial statements or annual returns for any continuous period of 3 financial years or

b) has failed to repay the deposits or pay interest or to redeem any debentures on the due date or pay any dividend declared on preference shares and such failure continues for 1 year or more.

shall not be eligible to be re-appointed as a director of that company or appointed in other company for period of 5 years from the date on which the said company fails to do so. However, such director shall not incur the disqualification for a period of 6 months from the date of appointment.

Question 18 (C15) (SM)

Discuss situations when the office of director shall become vacant.

Answer

According to Section 167(1), The office of a director shall become vacant in case,

a) he incurs any of the disqualifications specified in section 164. Provided that where he incurs disqualification under section 164(2), the office of the director shall become vacant in all the companies, other than the company which is in default under that sub-section.

b) he absents himself from all the meetings of the Board of Directors held during a period of 12 months with or without seeking leave of absence of the Board.

c) he acts in contravention of the provisions of section 184 relating to entering into contracts or arrangements in which he is directly or indirectly interested

d) he fails to disclose his interest in any contract or arrangement in which he is directly or indirectly interested, in contravention of the provisions of section 184.

e) he becomes disqualified by an order of a court or the Tribunal.

f) he is convicted by a court of any offence, whether involving moral turpitude or otherwise and sentenced in respect thereof to imprisonment for not less than 6 months.

g) he is removed in pursuance of the provisions of this Act.

he, having been appointed a director by virtue of his holding any office or other employment in the holding, subsidiary or associate company, ceases to hold such office or other employment in that company.

Unit 6

Question 19 (C2) (7M) (MQP Dec 2023) (MQP Dec 2025 Set 2)

Three Board meeting of A Ltd. were held on 01.01.2022, 01.04.2022, 01.07.2022. In the fourth Board meeting scheduled for 27.10.2022, no matter could be discussed since the required quorum was not present, and so it was adjourned till 03.11.2022. In the adjourned Board meeting held on 03.11.2022, 5 matters were discussed and voted upon. Assess the situation, Has the company contravened any of the provisions of the Companies Act, 2013?

Answer

According to Section 173(1), Every company shall hold the first meeting of the Board of Directors within 30 days of the date of its Incorporation and subsequently minimum of 4 meetings shall be held every year provided that the gap between two consecutive board meetings shall not be more than 120 days.

a) In the present case, the Board meeting held on 27.10.22 was adjourned, and the adjourned Board meeting was held on 03.11.22.
b) The Board meeting held on 27.10.22 and adjourned Board meeting held on 03.11.22 shall not be deemed to be separate Board meetings, since an adjourned meeting is a mere continuation of the original meeting.
c) Accordingly, the Board meeting held on 27.10.22 and the adjourned Board meeting held on 03.11.22 shall be counted as one Board meeting only.

Thus, the company has held 4 Board meetings during the calendar year 2022.

a) The gap between 1st and 2nd Board meeting was not more than 120 days.
b) Similarly, the gap between the 2nd and 3rd Board meeting was not more than 120 days.
c) Regarding the gap between the 3rd and 4th Board meeting, the date of 3rd board meeting and 4th original board meeting should be considered.
d) This is so because, it shall be deemed that only one Board meeting was held on 27.10.2022 (date of 4th meeting).
e) As is evident, the gap between the 3rd Board meeting 1.07.22 and 4th Board meeting is not more than 120 days.

Since A ltd has held four Board meetings during the calendar year 2022, and the gap between no two consecutive Board meetings is more than 120 days, A Ltd has complied with section 173.

Question 20 (C3) (7M) (June 2025 PQ) (MQP Dec 2025 Set 1)

What is the required quorum for holding a Board meeting, as per the provisions of the Companies Act, 2013? Examine the following cases in this context:

(i) In a Board meeting, only 3 directors were present out of the total of 11 directors. None of the 3 directors was interested in any of the items of the agenda. Examine the validity of meeting.

(ii) In a meeting of the Board, out of the total of 11 directors, 5 directors were present, of which only 2 directors were not interested in one of the transactions. How should the meeting deal with the matter?

Answer

According to Section 174 of the Companies Act, 2013 the quorum for a Board Meeting shall be one-third of its total strength (any fraction contained in that 1/3rd shall be rounded off to one) or two directors, whichever is higher.

However, section 174(3) states that where at any time the number of interested directors (present in the Board meeting) exceeds or is equal to 2/3rd of the 'total strength' (any fraction contained in that 2/3rd shall be rounded off as one), the number of non-interested directors present at the meeting, being not less than two, shall be the quorum.

(i) In the instant case, 1/3rd of 11 comes to 3.67 ~ 4 - the fraction 0.67 shall be rounded off to 1. Thus, at least 4 non-interested directors must be present in the Board meeting. However, only 3 directors are present in the Board meeting.

Moreover, there is no interested director present in the meeting and so, the benefit of section 174(3) cannot be availed.

Hence, the quorum was not present and so the meeting has not been validly held.

(ii) In the given case, the required quorum comes to 4 directors, 5 were present, so the basic requirement is fulfilled. During one of the transactions, only 2 directors were not interested. The requirement of section 174(3) is met with. The quorum requirement is thus fulfilled.

Question 21 (C8) (7M) (June 2025 PQ)

State the responsibilities of an Audit committee constituted in a company. Is any recommendation of such committee binding on the Board of Directors of the company?

Answer

Every Audit Committee shall act in accordance with the terms of reference specified in writing by the Board which shall, inter alia, include:

1) the recommendation for appointment, remuneration and terms of appointment of auditors of the company.

   Note: In case of Government companies, in this clause, for the word 'recommendation for appointment, remuneration and of appointment' the words 'recommendation for remuneration' shall be substituted, as in case of Govt. company, appointment is made by the C&AG.

2) review and monitor the auditor 's independence and performance, and effectiveness of audit process.
3) examination of the financial statement and the auditors' report thereon.
4) approval or any subsequent modification of transactions of the company with related parties.
5) The Audit Committee may make omnibus approval for related party transactions proposed to be entered by the company subject to such conditions as may be prescribed.

6) scrutiny of inter-corporate loans and investments.
7) valuation of undertakings or assets of the company, wherever it is necessary.
8) evaluation of internal financial controls and risk management systems.
9) monitoring the end use of funds raised through public offers and related matters.

Binding nature of recommendation of Audit Committee like any other committee, shall be recommendatory in nature. However, if the Board had not accepted any recommendation, the reasons for the same shall be recorded in the Board's Report.

If the company is a listed company, SEBI (LODR) Regulations require the company to disclose the reasons for not accepting, in the corporate governance section of the Annual Report or to the Stock Exchange.

Question 22 (C6) (ICAI SM) (7M) (MQP Dec 2024 Set 1)

Out of the powers exercisable by the Board under Section 179 of the Companies Act, 2013, the Board of MN Limited wants to delegate the power to borrow monies otherwise than on debentures to the Managing Director. Advise whether such a delegation is possible? Would your answer be different, if the delegation is made to the manager or any other principal officer including a branch officer of the company?

(or)

Describe the Powers of the Board to be exercised by the Board by means of the resolution passed at a duly convened Board meeting.

Answer

According to section 179(3) of the Companies Act, 2013, the Board of Directors of a company shall exercise the following powers on behalf of the company by means of resolutions passed at meetings of the Board:

a) To make calls on shareholders in respect of money unpaid on their shares.
b) To authorise buy-back of securities under section 68.
c) To issue securities, including debentures, whether in or outside India.
d) To borrow monies.
e) To invest the funds of the company.
f) To grant loans or give guarantee or provide security in respect of loans.
g) To approve financial statement and the Board's report.
h) To diversify the business of the company.
i) To approve amalgamation, merger, or reconstruction.
j) To take over a company or acquire a controlling or substantial stake in another company;
k) Any other matter which may be prescribed.

Provided that the Board may, by a resolution passed at a meeting, delegate to any Committee of Directors, the Managing Director, the manager or any other principal officer of the company

or in the case of a branch office of the company, the principal officer of the branch office, the

powers specified in clauses d) to f) on such conditions as it may specify.

From the above provisions, it is clear that the Board of MN Limited shall be perfectly in order if it delegates the power to borrow monies under d) to the Managing Director or to the manager or any other principal officer.

Question 23 (C7) (7M) (Dec 2023 PQ)

Section 180 of the Companies Act, 2013 provides certain restrictions on powers of Board of Directors. List out those restrictions.

Answer

According to Section 180(1) of the Companies Act, 2013, The Board of Directors of a company shall exercise the following powers only with the consent of the company by a special resolution, namely:

a) To sell, lease or dispose of the whole or substantially the whole of the undertaking of the company or where the company owns more than one undertaking, of the whole or substantially the whole of any of such undertakings.
   (i) substantially the whole of the undertaking shall mean 20% or more of the value of the undertaking as per balance sheet of the preceding financial year.
   (ii) Here, 'Undertaking' means a unit of business in which the investment of the company exceeds 20% of its net worth of the preceding financial year or an undertaking which generates 20% of the total income of the company during the previous financial year.
b) To invest otherwise in trust securities the amount of compensation received by it as a result of any merger or amalgamation.
c) To borrow money, where the money to be borrowed, together with the money already borrowed, will exceed the aggregate of its paid-up share capital and free reserves and securities premium, apart from temporary loans obtained from the company's bankers in the ordinary course of business.
d) To remit, or give time for the repayment of, any debt due from a director.

Every Special Resolution is required to be filed in Form No. MGT -14 as per Section 117.

Question 24 (C8) (4M) (June 2023 Old PQ)

Amar Cement Limited is a company incorporated four years ago. It has earned amounting to ₹ 5 lakh, ₹ 8 lakh and ₹ 11 lakh respectively during the last three financial years. The Board of Directors of the company propose to donate a sum of & 50,000 to a political party. Examine with reference to the provisions of the Companies Act, 2013 whether the proposed donation is within the powers of the Board of Directors of the company.

Answer

As per section 182 of the Companies Act, 2013 a company shall not make a political contribution unless the following conditions satisfied:

1) The company is not a government company.
2) The company has been in existence for 3 or more financial years.
3) The Board shall make a political contribution only by passing a resolution at a Board meeting.

4) The company shall disclose in its profit and loss account the amount of political contribution and the name of political party or person to whom such amount has been contributed.
5) The amount of political contribution that can be made in any financial year cannot exceed 7.5% of the average net profit of the preceding three financial years.
6) Such contribution shall be made through a resolution passed at a meeting of the Board of Directors.

Applying the provisions of section 182 of Companies Act 2013 to the given case, Amar Cement Limited is not prohibited from making political contribution since it has been in existence for more than 3 financial years.

For the purpose of calculation of the amount of Political Contribution,

Average net profit of the preceding 3 financial years = (₹ 5 lakh + ₹ 8 lakh + ₹ 11 lakh)/3 = ₹ 8 lakhs

Maximum amount of Political Contribution that can be made = 7.5% of ₹ 8 lakhs = ₹ 60,000

Accordingly, the proposal of the Board of directors to make a donation of Rs. 50,000 to a political party is valid. Such political contribution shall be made by passing a resolution at a Board meeting only.

Question 25 (C7) (7M) (June 2025 PQ)

Under the Companies Act, 2013, discuss the obligations in respect of maintenance of registers and records by the companies incorporated in India. Enumerate any ten such registers to be kept and maintained by such companies.

Answer

Every company has to maintain at its registered office certain registers and records for statutory, statistical, disclosure, information management and MIS purposes. Further, the company is also required to keep these records within the vicinity of the place prescribed for it by the laws.

Every company incorporated under the Act is required to keep at its registered office, inter alia, the following statutory books and registers:

1) Register of investments in securities not held in company's name in Form MBP-3.
2) Register of deposits.
3) Register of securities bought back in Form SH-10.
4) Register of charges in Form CHG-7.
5) Register and index of members in Form MGT-1.
6) Register and index of debenture holders in Form MGT-2.
7) Register and index of beneficial owners.
8) Foreign register of members and debenture holders and their duplicates in Form MGT-3.
9) Copies of Annual Return.
10) Books containing minutes of general meeting and of Board and of committees of Directors.

11) Register of Postal Ballot.

Unit 7

Question 26 (C1 & C2) (6M) (June 2018 Old PQ)

There are four directors in Shine Paper Limited. Mr. Madhav, being the director in station, has been authorized to draw and endorse cheque or other negotiable instruments on account of the company and also to direct registration of transfer of shares and signing the share certificates etc. Evaluate whether he will be treated as Managing Director of the company. Also recommend the procedure of appointment of a Managing Director in a company in the light of the Companies Act, 2013.

Answer

According to Section 2(54) of the Companies Act, 2013, a "Managing Director" is a director who is entrusted with substantial powers of management of the affairs of the company by:

a) virtue of articles of a company, or
b) an agreement with the company, or
c) a resolution passed in its general meeting, or by its Board of Directors,

and includes a director occupying the position of the managing director, by whatever name called.

Substantial powers of the management shall not be deemed to include the power to do such administrative acts of a routine nature when so authorised by the Board such as:

(ii) the power to affix the common seal of the company to any document or
(iii) to draw and endorse any cheque on the account of the company in any bank or
(iv) to draw and endorse any negotiable instrument or
(v) to sign any certificate of share or
(vi) to direct registration of transfer of any share.

In the instant case, Mr. Madhav, a director in Shine Paper Limited has been, authorized to draw and endorse cheque or other negotiable instruments on account of the company and also to direct registration of transfer of shares and signing the share certificates etc.

Hence, according to explanation to section 2(54), Mr. Madhav will not be treated as managing director of the company as he is authorized to do administrative acts of a routine nature.

As per Section 196(4), procedure of appointment of a managing director:

(i) a managing director shall be appointed, and the terms and conditions of such appointment and remuneration payable be approved by the Board of Directors at a meeting.
(ii) The terms and conditions and remuneration approved by Board of Directors as above shall be subject to the approval of shareholders by a resolution at the next general meeting of the company.
(iii) In case such appointment is at variance to the conditions specified in the Schedule V of the Companies Act, 2013, the appointment shall be approved by the Central Government.

(iv) A return in the prescribed form (Form No. MR.1) along with the prescribed fee shall be filed with the Registrar within 60 days of such appointment.

Question 27 (C3) (8M) (June 2023 PQ) (ICAI SM)

International Technologies Limited, a listed company, being managed by a Managing Director proposes to pay the following managerial remuneration:

(i) Commission at the rate of five percent of the net profits to its Managing Director, Mr. Kamal.

(ii) The directors other than the Managing Director are proposed to be paid monthly remuneration of rupees 50,000 and also commission at the rate of one percent of net profits of the company subject to the condition that overall remuneration payable to ordinary directors including monthly remuneration payable to each of them shall not exceed two percent of the net profits of the company. The commission is to be distributed equally among all the directors.

(iii) The company also proposes to pay suitable additional remuneration to Mr. Bhatt, a director, for professional services rendered as software engineer, whenever such services are utilized.

You are required to examine with reference to the provisions of the Companies Act, 2013 the

validity of the above proposals

Answer

International Technologies Limited, a listed company, being managed by a Managing Director proposes to pay the following managerial remuneration:

(i) Section 197(1) of the Companies Act, 2013, provides that except with the approval of the company in general meeting by a special resolution, the remuneration payable to any one managing director or whole time director or manager shall not exceed 5% of the net profits of the company and if there is more than one such director then remuneration shall not exceed 10% of the net profits to all such directors and manager taken together.

In the present case, since the International Technologies Limited is being managed by a Managing Director, the commission at the rate of 5% of the net profit to Mr. Kamal, the Managing Director is allowed and no approval of company in general meeting is required.

(ii) Section 197(1) of the Companies Act, 2013 provides that except with the approval of the company in general meeting by a special resolution, the remuneration payable to directors who are neither managing directors nor whole time directors shall not exceed-

- 1% of the net profits, if there is a managing or whole-time director or manager.
- 3% of the net profits in any other case.

In the present case, the maximum remuneration allowed to directors other than managing or whole-time director is 1% of the net profits of the company because the company is managed by a managing director. Hence, if the company wants to fix directors' remuneration at not more than 2% of the net profits of the company, the approval of the company in general meeting is required by passing a special resolution.

(iii) According to section 197(4) of the Companies Act, 2013, the remuneration payable to the directors of a company, including any managing or whole-time director or manager, shall be determined, in accordance with:

a) by the articles of the company, or
b) by a resolution or,
c) if the articles so require, by a special resolution, passed by the company in general meeting.

The remuneration payable to a director determined aforesaid shall be inclusive of the remuneration payable to him for the services rendered by him in any other capacity.

Any remuneration for services rendered by any such director in other capacity shall not be so included if—

(i) the services rendered are of a professional nature; and

(ii) in the opinion of the Nomination and Remuneration Committee, the director possesses the requisite qualification for the practice of the profession.

Hence, in the present case, the additional remuneration payable to Mr. Bhatt, a director, for professional services rendered by him as software engineer will not be included in the maximum managerial remuneration. Accordingly, such additional remuneration shall be allowed but opinion of Nomination and Remuneration Committee needs to be obtained.

Question 28 (C5) (ICAI SM)

Mr. Doubtful was appointed as Managing Director of Carefree Industries Ltd. for a period of five years with effect from 1.4.2016 on a salary of ₹ 12 lakhs per annum with other perquisites. The Board of Directors of the company came to know about certain questionable transactions entered into by Mr. Doubtful and therefore, terminated his services as Managing Director from 1.3.2019. Mr. Doubtful termed his removal as illegal and claimed compensation from the company.

Discuss whether: The company is bound to pay compensation to Mr. Doubtful and, if so, how much.

Answer

According to Section 202 of the Companies Act, 2013, compensation can be paid only to a Managing Director, Whole-time Director or Manager. The amount of compensation cannot exceed the remuneration which he would have earned if he would have been in the office for the unexpired term of his office or for 3 years whichever is shorter. No compensation shall be paid, if the director has been found guilty of fraud or breach of trust or gross negligence in the conduct of the affairs of the company.

In light of the above provisions of law, the company is not liable to pay any compensation to Mr. Doubtful, if he has been found guilty of fraud or breach of trust or gross negligence in the conduct of affairs of the company. But it is not proper on the part of the company to withhold the payment of compensation on the basis of mere allegations. The compensation payable by the company to Mr. Doubtful would be ₹ 25 Lakhs calculated at the rate of ₹ 12 Lakhs per annum for unexpired term of 25 months.

Unit 8

Question 29 (C2) (7M) (June 2025 PQ)(MQP Dec 2025 Set 1)

The following is the extract of Balance sheet of XYZ Ltd., as on 31.03.24:

Sl. No.	Particulars	Amount (₹)
(i)	Authorised Capital	100
(ii)	Paid-up Capital	40
(iii)	P & L Account balance	22
(iv)	Share Premium Account	10
(v)	Machinery Revaluation Account	11
(vi)	Secured loan taken from a nationalised bank (at 11% rate of interest	35

The yield of Government security may be taken as under:

Tenure	Yield
1 year	6.5%
2 years	6.7%
3 years	6.9%

ABC Ltd., has approached the company for grant of secured loan for ₹ 40 lakhs for a tenure of 40 months. Can this loan be granted by the Board of Directors at the interest rate of 6.5%?

Will your answer be different, if the loan is for ₹ 45 lakhs?

Answer

According to Section 186(2), No company shall directly or indirectly

a) give any loan to any person or other body corporate

b) give any guarantee or provide security in connection with a loan to any other body corporate or

person and

c) acquire by way of subscription, purchase or otherwise, the securities of any other body corporate,

exceeding 60% of its paid-up share capital, free reserves and securities premium account or 100%

of its free reserves and securities premium account, whichever is more.

However, a company can give loans, guarantee & security or make investments above the prescribed limits when it is previously authorised by a special resolution passed in a general meeting.

A loan under this section shall be given at a rate of interest which is not lower than the prevailing

yield of one year, 3 year, 5 year or 10 year Government Security closest to the tenor of the loan.

In the Present Case,

Calculation of Eligible Amount

Particulars	Amount (₹)
Authorised Capital	Not Considered
Paid-up Capital	40
P&L Balance (considering a free Reserve)	22
Share Premium Account	10
Machinery Revaluation Reserve	Not Considered
Secured Loan taken from Nationalised bank	Not Relevant
Eligible Amount a) 60% of its paid-up share capital, free reserves and securities premium account = 60% (40+22+10) (or) b) 100% of its free reserves and securities premium account = 100% (22+10) Whichever is higher	a) 43.2 (or) b) 32
Eligible Amount	43.2

In the given Case, the proposed loan amount is ₹ 40 lakhs. Hence, the board of directors can grant the loan quantum of ₹ 40 lakhs. The Tenure is 40 months, which is closest to 3 years, so the government yield is 6.9%. Therefore, board of directors cannot grant the loan at 6.5% interest rate but can grant at 6.9% interest rate.

If the loan amount is ₹ 45 lakhs, the board can grant such loan by taking prior approval by means of a special resolution passed in the general meeting.

Question 30 (C3) (7M) (June 2024 PQ) (June 2025 PQ)

Should investments of a limited company be held in its name only? State the requirements of the Companies Act, 2013 in this regard.

(or)

Examine whether investments made or held by a company must be in its own name. Elucidate the exemptions, if any, enshrined in Section 187 of the Companies Act, 2013.

Answer

According to Section 187 of the Companies Act, 2013,

a) All investments made or held by a company in any property, security or other asset shall be made and held by it in its own name.

b) Provided the company may hold any shares in its subsidiary company in the name of any nominee or nominees of the company, if it is necessary to do so, to ensure that the number of members of the subsidiary company is not reduced below the statutory limit.

c) Nothing in this Section shall be deemed to prevent a company:

(i) from depositing with a bank, any shares or securities for the collection of any dividend or interest payable thereon.

(ii) from depositing with or holding in the name of, the State Bank of India or a scheduled bank, being the bankers of the company, shares or securities, to facilitate the transfer.

(iii) from depositing with or transferring to, any person any shares or securities, by way of security for the repayment of any loan.

(iv) from holding investments in the name of a depository when such investments are in the form of securities held by the company as a beneficial owner.

Where any shares or securities in which investments have been made by a company are not held by it in its own name, the company shall maintain a register which shall contain such particulars and such register shall be open to inspection by any member or debenture-holder of the company without any charge during business hours.

Question 31 **(7M) (June 2025 PQ)**

M/s Pearson Ltd., a public limited company engaged in manufacturing of steel pipes, has the following financial figures as per its latest audited financial statements:

Particulars	Amount (₹ Cr)
Paid-up Equity Share Capital	100
General Reserve	20
Securities Premium	5
Term Loan from SBI	75
Turnover	575

The company proposes to invite public deposits of different tenures ranging from three months to 36 months.

Answer the following:

(i) Is the company eligible to invite public deposits?

(ii) What is the limit for acceptance of deposits from the public? Can it accept deposits for less than six months?

(iii) How much can the company accept as deposits from its members?

(iv) How much can it accept from public and members together?

Answer

(i) As per Section 76(1) of the Companies Act, 2013, only an "eligible company" (a certain class of public companies) can invite deposits from the public.

A public company is eligible to invite public deposits if it satisfies all of the following conditions:

1) Net worth of not less than ₹100 crore, or
2) Turnover of not less than ₹500 crore, and
3) Has obtained prior consent of shareholders in a general meeting by special resolution, and
4) Has filed the said resolution with the Registrar of Companies, and
5) Has obtained a credit rating and complied with the prescribed rules under the Companies (Acceptance of Deposits) Rules, 2014.

Application to the given case:

- Net worth = ₹100 + ₹20 + ₹5 = ₹125 crore. Fulfilled.
- Turnover = ₹575 crore Fulfilled.

Hence, the company qualifies as an "eligible public company" under Section 76.

Conclusion: M/s Pearson Ltd is eligible to invite public deposits, subject to compliance with all procedural requirements.

(ii) Under Rule 3(1) of the Companies (Acceptance of Deposits) Rules, 2014:

a) No company shall accept or renew any deposit repayable on demand or for a period of less than 6 months or more than 36 months.

b) However, a company may accept deposits for less than 6 months but not less than 3 months, for meeting short- term fund requirements, subject to:

- Such deposits do not exceed 10% of the aggregate of the paid-up share capital, free reserves and securities premium account; and
- Such deposits are repayable not earlier than 3 months.

(iii) As per Rule 3(4) of the Companies (Acceptance of Deposits) Rules, 2014, a public company (whether eligible or not) may accept deposits from its members up to 10% of the aggregate of its paid-up share capital, free reserves and securities premium account.

Computation: (100 + 20 + 5) × 10% = ₹12.5 crore.

Therefore, the Limit from members = ₹12.5 crore

(iv) As per Rule 3(4), an eligible public company may accept:

- Deposits from members up to 10%, and
- Deposits from public up to 25% of the aggregate of paid-up capital, free reserves and securities premium account.

Therefore,

- Total permissible = 35% of (100 + 20 + 5) = 35% of ₹125 crore = ₹43.75 crore.
- Limit from public = ₹31.25 crore (25%)

Limit from members = ₹12.5 crore (10%)

Unit 9

Question 32 (C3) (4M) (June 2023 PQ) (ICAI SM)

A group of shareholders of FMG Limited made a complaint to the concerned Registrar of Companies (ROC) that the business of the Company is being carried on for unlawful and fraudulent purposes and filed an application to enquire into the affairs of the Company. Referring to and analyzing the provisions of the Companies Act, 2013, decide:

(i) Whether the ROC has the power to order for an inquiry into the affairs of the Company?

(ii) If yes, state the procedure to be followed by the ROC.

(iii) Whether the inquiry should be pursued by the ROC in case the complaint is withdrawn by the same group of shareholders subsequent to the Order for enquiry?

(iv) Whether the Central Government has the power to direct the ROC to carry out the inquiry?

Answer

According to Section 206(4) of the Companies Act, 2013,

(i) Yes, the ROC has the power to order for an inquiry as he deems fit after providing the company a reasonable opportunity of being heard, into the affairs of the company if he is satisfied on a representation made to him by any person that the business of a company is being carried on for a fraudulent or unlawful purpose or not in compliance with the provisions of this Act.

(ii) Procedure followed by ROC: The Registrar may, after informing the company of the allegations made against it by a written order, call on the company to furnish in writing any information or explanation on matters specified in the order within such time as he may specify therein and carry out such inquiry as he deems fit after providing the company a reasonable opportunity of being heard.

(iii) The inquiry can be carried on by the ROC even in case the complaint is withdrawn by same group of shareholders subsequent to the order for inquiry.

(iv) Yes, the Central Government may, if it is satisfied that the circumstances so warrant, direct the Registrar for the purpose to carry out the inquiry under section 206(4).

Question 33 (C6) (ICAI SM)

A group of creditors of XYZ Limited makes a complaint to the Registrar of Companies, Gujarat alleging that the management of the company is indulging in destruction and falsification of the accounting records of the company. The complainants request the Registrar to take immediate steps to seize the records of the company so that the management may not be allowed to tamper with the records. The complaint was received at 11 A.M. on 06th June, 2018 and the registrar has attempted to enter the premise of company but has been denied by the company, due to not having order from special court. Is the contention of company being valid in terms of Companies Act, 2013?

Answer

According to Section 209 of the Companies Act, 2013, if the Registrar has reasonable ground to believe that the books and papers of

- A company or relating to
- the key managerial personnel or
- any director or
- auditor or
- company secretary in practice if the company has not appointed a company secretary

are likely to be destroyed, mutilated, altered, falsified or secreted he may, after obtaining an order from the special court for the seizure of such books and papers,

a) enter with such assistance as may be required and search the place where such books or papers are kept; and
b) seize such books and papers as he considers necessary after allowing the company to take copies or extracts there from.

According to the above provisions the registrar may enter, search and seize the books only after obtaining an order from the Special Court.

In the given scenario, the registrar has failed to obtain permission from the special court so, he is not authorized to enter the premises of the company and seize the books of accounts of XYZ Limited. Hence, the contention of the XYZ Limited is valid in law.

Question 34 (C12) (ICAI SM)

Mr. Atul is an employee of the company ABC Limited and investigation is going on him under the provisions of Companies Act, 2013. The company wants to terminate the employee on the ground of investigation is going against him. They have filed the application to tribunal for approval of termination. Company has not received any reply from the tribunal within 30 days of filling an application. The company consider it as a deemed approval and terminated Mr. Atul.

(i) Is the contention of company being valid in law?
(ii) What is remedy available to Mr. Atul?
(iii) What is remedy available to Mr. Atul, if reply of Tribunal has been received within 30 days of application?

Answer

As per Section 218 of the Companies Act, 2013, during any investigation of the affairs of the company or any pendency of any proceedings against any person concerned in the conduct and management of the affairs of the company under Chapter XIV:

The company shall obtain the approval of the tribunal before taking such actions against the employee:

a) discharge or suspension of an employee; or
b) punishment to an employee by dismissal, removal, reduction in rank or otherwise; or
c) change in the terms of employment to the disadvantage of employees.

In case, the company does not receive the approval of the Tribunal within 30 days of making the application, it may proceed to take the action proposed against the employee. That means it can be consider as a deemed approval by the tribunal.

If the company or person concerned is dissatisfied with the objection raised by the Tribunal, it may, within a period of 30 days of the receipt of the notice of the objection, refer an appeal to the Appellate Tribunal.

The decision of the Appellate Tribunal on such appeal shall be final and binding on the Tribunal and on the company, other body corporate or person concerned.

a) Yes, the termination of Mr. Atul made by the company is totally valid in law and company can do so by considering deemed approval of tribunal.
b) In this scenario, Mr. Atul has not any remedy available. As per the provision of the law appeal to the appellate tribunal can be made only if the person is dissatisfied with the objection raised by the tribunal. Hence, in this case the tribunal has not replied Mr. Atul cannot refer an appeal to Appellate Tribunal.
c) In this case, Mr. Atul can refer and appeal to appellate tribunal after the receiving the letter of objection raised by the tribunal.

Question 35 (C13) (4M) (Dec 2019 Old PQ) (ICAI SM)

Discuss the powers of Inspectors regarding investigation into affairs of related companies.

(or)

During investigations conducted on the affairs of a company in the public interest, the inspector observed that the Directors of the company had been acting on the instructions of the holding company and he proceeded to investigate the holding company. Is Inspector permitted to do so under the provisions of the Companies Act, 2013?

Answer

As per Section 219 of the Companies Act, 2013, If an inspector appointed under section 210 or section 212 or section 213 to investigate into the affairs of a company considers it necessary for the purposes of the investigation, can also investigate the affairs of

a) any other body corporate which is or has at any time been the company's subsidiary company or holding company, or a subsidiary company of its holding company.
b) any other body corporate which is, or has at any time been managed by any person as managing director or as manager, who is, or was the managing director or the manager of the company.
c) any other body corporate whose Board of Directors comprises nominees of the company or is accustomed to act in accordance with the directions of the company or any of its directors or
d) any person who is or has at any relevant time been the company's managing director or manager or employee.

The inspector shall, subject to the prior approval of the Central Government, investigate into the affairs of the other body corporate or of the managing director or manager, if he

considers relevant to the investigation of the affairs of the company for which he is appointed.

In view of above, the Inspector is permitted to investigate the holding company.

Unit 10

Question 36 (C3) (ICAI SM)

A meeting of members of ABC Limited was convened under the orders of the Court to consider a scheme of compromise and arrangement. Notice of the meeting was sent in the prescribed manner to all the 600 members holding in the aggregate 25,00,000 shares. The meeting was attended by 450 members holding 15,00,000 shares. 210 members holding 11,00,000 shares voted in favour of the scheme. 180 members holding 3,00,000 shares voted against the scheme. The remaining members abstained from voting. Examine with reference to the relevant provisions of the Companies Act, 2013 whether the scheme is approved by the requisite majority.

Answer

As per section 230(6) of the Companies Act, 2013 where majority of persons at a meeting held representing 3/4th in value, voting in person or by proxy or by postal ballot, agree to any compromise or arrangement and if such compromise or arrangement is sanctioned by the Tribunal by an order. The majority of person representing 3/4th Value shall be counted of the following:

- the creditors, or
- class of creditors or
- members or
- class of members, as the case may be,

The majority is dual, in number and in value. A simple majority of those voting is sufficient. Whereas the 'three-fourths' requirement relates to value. The three-fourths value is to be computed with reference to paid-up capital held by members present and voting at the meeting.

In this case out of 600 members, 450 members attended the meeting, but only 390 members voted at the meeting. As 210 members voted in favor of the scheme the requirement relating to. majority in number (i.e 196) is satisfied. 390 members who participated in the meeting held 14,00,000, three-fourth of which works out to 10,50,000 while 210 members who voted for the scheme held 11,00,000 shares.

As both the requirements are fulfilled, the scheme is approved by the requisite majority.

Question 37 (C5) (3M) (Dec 2023 Old PQ) (ICAI SM)

ABC Limited is a wholly owned subsidiary company of XYZ Limited. The Company wants to make application for merger of Holding and Subsidiary Companies under Section 232. The

Company Secretary of the XYZ Limited is of the opinion that company cannot apply for merger as per section 232. The company shall have to apply for merger as per section 233 i.e. Fast Track Merger. Is the contention of Company Secretary being valid as per law?

Answer

As per section 233 (1), notwithstanding the provisions of section 230 and section 232, a scheme of merger or amalgamation may be entered between,

a) two or more small companies or
b) a holding company and its wholly owned subsidiary company or
c) two or more start-up companies,
d) one or more start-up company with one or more small company.
e) One or more unlisted company, (not being section 8 company) with one or more unlisted company, (not being section 8 company), where every company involved in the merger,
   (i) has, in aggregate, outstanding loans, debentures or deposits not exceeding ₹ 200 crores, and
   (ii) has no default in repayment of loans, debentures or deposits, on a day, not more than 30 days before the date of notice and on the date of filing of scheme.

   Provided that a certificate from the auditor of the company that the company meets the conditions referred to in this clause shall be filed along with the copy of the approved scheme.
f) a holding company (listed or unlisted) and a subsidiary company (listed or unlisted): Provided that this clause shall not apply where the transferor company or companies are listed
g) one or more subsidiary company of a holding company with one or more other subsidiary company of the same holding company where the transferor company or companies are not listed;
h) merger of the transferor foreign company incorporated outside India being a holding company with the transferee Indian company being its wholly owned subsidiary company incorporated in India.

The provisions given for fast-track merger in the section 233 are in the optional nature and not a compulsion to the company. If a company wants to make application for merger as per section 232, it can do so.

Hence, here the Company Secretary of the XYZ limited has erred in the law and his contention is not valid as per law. The company shall have an option to choose between normal process of merger and fast track merger.

Question 38 (C8) (7M) (Dec 2024 PQ) (MQP June 2025) (SM)

Discuss about the amalgamation by Central Government on public interest as per the provisions of the Companies Act, 2013.

Answer

According to Section 237 (1) of the Companies Act, 2013,

a) when the Central Government is satisfied that it is essential in the public interest that two or more companies should amalgamate,
b) the Central Government may, by order notified in the Official Gazette, provide for the amalgamation of those companies into a single company with such constitution, with such property, powers, rights, and with such liabilities, duties and obligations, as may be specified in the order.
c) The order may also provide for the continuation by or against the transferee company of any legal proceedings pending by or against any transferor company.
d) Every member or creditor, debenture holder, of each of the transferor companies before the amalgamation shall have the same interest in or rights against the transferee company as he had in the original company, and in case the interest of such member or creditor is less than his interest in the original company, he shall be entitled to compensation to that extent, which shall be assessed by such authority as may be prescribed and shall be published in the Official Gazette.
e) The compensation so assessed shall be paid to the member or creditor concerned by the transferee company.

Any person aggrieved by any assessment of compensation made by the prescribed authority, within a period of 30 days from the date of publication of such assessment in the Official Gazette, prefer an appeal to the Tribunal and there upon the assessment of the compensation shall be made by the Tribunal.

Question 39 (C1) (7M) (June 2025 PQ)

Explain the various exceptions under the Companies Act, 2013 to the Rule enunciated in the case of Foss vs. Harbottle.

Answer

Exceptions to the Rule enunciated in the case of Foss vs Harbottle

The Rule in Foss v. Harbottle is not absolute but is subject to certain exceptions. In other words, the Rule of supremacy of the majority is subject to certain exceptions and so that, the minority shareholders are not left helpless and desperate, but they are protected by:

- The Common Law.
- the provisions of the Companies Act ,2013.
- Action may be taken by Shareholders under Common Law

The cases in which the majority rule does not prevail are commonly known as exceptions to the rule in Foss v. Harbottle and are available to the minority. In all these cases an individual member may sue for declaration that the resolution passed is void, or for an order to restrain the company from passing it.

The majority rule will not apply in the following cases.

1) Ultra Vires acts: Where the directors representing the majority of shareholders perform an illegal or ultravires act for the company, an individual shareholder has right to bring an action. In such case a shareholder has the right to restrain the company by an order of the court from carrying out an ultra vires act.
2) Fraud on Minority: Where an act done by the majority amounts to a fraud on the minority, an action can be brought by an individual shareholder.
3) Wrong doers in charge of the management control: If the wrongdoers are in control of the company, the minority shareholders' representative action for fraud on the minority will be entertained by the Court as the voice of the Minority Shareholders must be heard in such a situation.
4) Resolution requiring Special Majority but is passed by a simple majority: A Minority shareholder can sue if an act requiring a special majority but is passed by a simple majority. An individual shareholder has the right of action to restrain the company from acting on a special resolution to which the insufficient notice is served.
5) Personal actions by shareholders: Individual member is entitled to all the rights and privileges according to his status as a member. He can insist on the strict compliance with the legal rules, statutory provisions. Provisions in the memorandum and the articles are mandatory in nature and cannot be waived off by majority shareholders.

Breach of duty: The minority shareholder may bring an action against the company, where although there is no fraud, there is a Breach of duty by directors and majority shareholders to the detriment of the company.

Question 40 (C3 & C4) (5M) (Dec 2023 Old PQ) (ICAI SM)

The issued and paid-up capital of MNC Limited is ₹ 5 crores consisting of 5,00,000 equity shares of ₹ 100 each. The said company has 500 members. A petition was submitted before the Tribunal signed by 80 members holding 10,000 equity shares of the company for the purpose of relief against oppression and mismanagement by the majority shareholders. Examining the provisions of the Companies Act, 2013, decide whether the said petition is maintainable. Also explain the impact on the maintainability of the above petition, if subsequently 40 members, who had signed the petition, withdrew their consent.

Answer

As per the provisions of section 244 of the Companies Act, 2013, in the case of a company having share capital, the following members have the right to apply to the Tribunal under section 241:

a) Not less than 100 members of the company or not less than 1/10th of the total number of members, whichever is less or

b) Any member or members holding not less than 1/10th of the issued share capital of the company.

subject to the condition that the applicant or applicants has or have paid all calls and other sums due on his or their shares

The share holding pattern of MNC Limited is given as follows:

₹ 5,00,00,000 equity share capital held by 500 members.

The petition alleging oppression and mismanagement has been made by some members as follows:

- No. of members making the petition – 80
- Amount of share capital held by members making the petition – ₹ 10,00,000

The petition shall be valid if it has been made by the lowest of the following:

- 100 members (or) 50 members (being 1/10th of 500) or
- Members holding ₹ 50,00,000 share capital (being 1/10th of ₹ 5,00,00,000)

As it is evident, the petition made by 80 members meets the eligibility criteria specified under section 244 of the Companies Act, 2013 as it exceeds the minimum requirement of 50 members in this case. Therefore, the petition is maintainable. The consent to be given by a shareholder is reckoned at the beginning of the proceedings. The withdrawal of consent by any shareholder during the course of proceedings shall not affect the maintainability of the petition.

Question 41 (C7) (ICAI SM)

A group of members holding 380 lakh issued share capital in Zolo Ltd. a listed public company having total issued share capital of 15000 lakhs as per latest financial statements alleged that company board of director is conducting an act which is ultra vires the articles or memorandum of the company without altering the memorandum or articles of the company. They make application to tribunal (NCLT) to restrain the company from doing such ultra-vires act. With reference to the provision of Companies Act, 2013 ascertain whether the application will be admitted by tribunal (NCLT).

Answer

According to section 245 of Companies Act, 2013, such number of member or members, depositor or depositors or any class of them, if they are of the opinion that the management or conduct of the affairs of the company are being conducted in a manner prejudicial to the interests of the company or its members or depositors, can file an application before the Tribunal on behalf of the members or depositors for seeking an orders, to restrain the company from committing an act which is ultra-vires the articles or memorandum of the company.

Accordingly, in case of a company having a share capital the requisite number of member or members to file an application under section 245(1) shall be: -

a) at least 5% of the total number of members of the company; or
b) 100 members of the company, whichever is less; or
c) In case of a listed company, member or members holding not less than 2% of the issued share capital of the company.

In above case, members hold 2.53% [(380 lakhs/15000 lakhs) x (100)] of issued share capital of Zolo Ltd. which is a listed company to make application before tribunal (NCLT). Hence as members meet condition of 2% of issued share capital, therefore their class action suit can be admitted by the NCLT.